

Escentials LLC

Notes to the Financial Statements

For the year ended December 31, 2025

Unaudited. Illustrative figures for privacy: modeled on the business's size, channels and products, not its actual results.

1. Organization and nature of business

Escentials LLC (the Company) is a limited liability company. It sells authentic designer fragrance online through eBay and its own Shopify store, and sells its own Car Perfume line: hanging glass bottles and refills.

2. Basis of presentation

These statements are prepared on the accrual basis under accounting principles generally accepted in the United States (US GAAP). They are unaudited and prepared by management. The figures are illustrative: they are modeled on the Company's size, sales channels and products, and are not its actual results, which are kept private.

3. Use of estimates

Preparing financial statements requires estimates, including returns, the value of inventory and the useful life of equipment. Actual results could differ.

4. Revenue recognition

Revenue is recognized under ASC 606 when control of a product passes to the customer, at shipment, and is reported net of discounts and refunds. For drop shipped designer fragrance the Company is the principal: it sets the price, accepts the order and handles returns, so it reports those sales gross and the supplier's charge as cost of goods sold. Shipping charged to customers is revenue; shipping and handling costs are fulfillment costs within operating expenses. Sales tax collected on Shopify orders is a liability, not revenue; eBay collects and remits the tax on eBay orders as the marketplace facilitator.

5. Inventory

Inventory is Car Perfume bottles, fragrance oil and refills, stated at the lower of cost (first in, first out) and net realizable value. Designer fragrance ships directly from the supplier, so the Company holds none of it. Inventory at December 31, 2025 was \$2,198.

6. Equipment

Equipment is stated at cost and depreciated on a straight line basis over 3 years. At December 31, 2025 its cost was \$1,647, accumulated depreciation was \$503, and 2025 depreciation expense was \$503.

7. Income taxes

The Company is a limited liability company taxed as a pass through entity: its income is reported on its member's tax return, so these statements include no provision for income taxes. The Company pays California's \$800 annual LLC tax, included in taxes and licenses.

8. Advertising

Advertising, including eBay promoted listings, is expensed as incurred. It totaled \$6,754 in 2025.

9. Member transactions

During 2025 the member contributed \$2,500 and received distributions of \$9,000.

10. Concentrations

eBay produced 58% of merchandise sales, and Shopify the rest. Designer fragrance comes from a single wholesale supplier; losing it would interrupt sales until a replacement was found.

11. Subsequent events

Subsequent events were evaluated through the date these statements were issued.